

		Moving parties shall give notice of the ruling.
6.	2025-1501947 Deckers Fine Gifts & Collectibles, Inc. vs. Pearson	Defendant Robert Enderle's ("Defendant Enderle") motion for attorney's fees and costs per CCP § 405.38 is denied. Enderle seeks \$13,283 in attorney fees based on his joinder in the successful motion to expunge the lis pendens. CCP section 405.38 provides: "The court shall direct that the party prevailing on any motion under this chapter be awarded the reasonable attorney's fees and costs of making or opposing the motion unless the court finds that the other party acted with substantial justification or that other circumstances make the imposition of attorney's fees and costs unjust." (Code Civ. Proc., § 405.38.) "The attorney fees provision in the lis pendens statutes originally was enacted to control misuse of the lis pendens procedure." (<i>Castro v. Superior Court</i> (2004) 116 Cal.App.4th 1010, 1018, citation omitted.) "Even after the merits of the expungement motion are determined in favor of the moving party, there may nonetheless be facts and circumstances militating against imposing attorney fees and costs on the lis pendens claimant." (<i>Ibid.</i>) There is no dispute that the Court expunged the lis pendens Plaintiffs recorded on the Property, after granting the motion filed by Defendant Pearson, which Enderle had joined in. (See ROA 75, 144, 151.) The Court finds, however, that Plaintiffs acted with substantial justification in recording the lis pendens and opposing its expungement. The Court further finds that the circumstances discussed below would make the imposition of attorney's fees and costs unjust. While the Court ultimately granted the motion to expunge (which Defendant Enderle had joined in), it did so only after addressing difficult questions of fact and law. This case presented a dispute over whether Plaintiffs had entered into their lease with the owner of the property, or whether the lessor was merely a tenant, such that Plaintiffs were subtenants. The Court found the latter to be true based on the language in the Ground Lease. Nevertheless, the Ground Lease was <i>not</i> mentioned in Plaintiffs' lease agreement, and defendants had asserted an argument that Plaintiffs were on actual or constructive notice because the Ground Lease had been recorded in 1976 (which the Court did not find persuasive). It should also be emphasized that the Lease Agreement did not refer to the Landlord as a "sublessor" and Plaintiffs were told that the lease was "void" on a date over two years before the stated date of termination.

		Taken together, these circumstances provided an objectively reasonable basis in both law and fact for Plaintiffs to contend that their lease conferred a continuing right to possession and to oppose expungement of the lis pendens. Although the Court ultimately rejected Plaintiffs' position, that adverse determination does not establish that their position lacked substantial justification. Second, Defendant Enderle filed a "joinder" with a limited memorandum that was largely duplicative of the arguments made by Defendant Pearson, the party who brought the motion to expunge. (See ROA 75.) However, the relief sought is not the type of relief that is afforded on an individual basis. In other words, if the moving party, Defendant Pearson, was entitled to expunge the lien, then the relief granted would have applied to all persons affected by the lien, regardless of whether they "joined in" the original motion or filed a separate motion. Accordingly, the motion is denied. Plaintiffs shall give notice of the ruling.
7.	2025-1528928 Handy vs. Exodus Cry, Inc.	Defendant Exodus Cry, Inc.'s demurrer to plaintiff Bridget Handy's first amended complaint ("FAC") is sustained with 21 days' leave to amend. Specifically, Plaintiff is granted leave to file her proposed second amended complaint ("SAC"). In her opposition, Plaintiff tacitly concedes the merits of the demurrer to the FAC and seeks to file her proposed SAC. <u>Legal Standard</u> The court may, in furtherance of justice, and on any terms as may be proper, allow a party to amend any pleading or proceeding by adding or striking out the name of any party, or by correcting a mistake in the name of a party, or a mistake in any other respect; and may, upon like terms, enlarge the time for answer or demurrer. Code Civ. Proc. § 473(a)(1). The court may likewise, in its discretion, after notice to the adverse party, allow, upon any terms as may be just, an amendment to any pleading or proceeding in other particulars; and may upon like terms allow an answer to be made after the time limited by this code. Code Civ. Proc. § 473(a)(1). Additionally, any judge, at any time before or after commencement of trial, in the furtherance of justice, and upon such terms as may be proper, may allow the amendment of any pleading or pretrial conference order. Code of Civ. Proc. § 576. Ordinarily, the court does not consider the validity of the proposed amended pleading in deciding whether to grant leave to amend. <i>Kittredge Sports Co. v. Superior Court (Marker,</i>